

Goji Community Platform — Concept Design (PL3)

Document: PL3-01 · Concept Design · **Version:** 1.0 (Draft) **Status:** For internal review — contains open legal questions that gate launch **Owner:** Goji Labs **Relationship to other lines:** Governs the parameters of PL2 (index tokens), which are powered by PL1 (the dynamic liquidity engine). PL3 does not execute trades; it sets and curates the rules within which PL1 operates.

1. What this is, in one paragraph

The Goji Community Platform is a **staked curation and governance layer** that lets a verified community decide which sector indices exist, what their parameters are, and which pairings get funded — and funds those decisions in the same act. Participants stake USDC to propose and back suggestions. Voting weight is **quadratic** in the amount staked, so influence grows far slower than capital. Backing for winning proposals converts into **transparent, claim-bearing liquidity** that launches the index it curated. Identity is established through **KYC** so that one human is one participant. The platform is explicitly *not* a vehicle for pooling capital to execute discretionary buys that move any Goji token's price — that is a hard, non-overridable prohibition (see §6).

This is best classified as a **token-curated registry with liquidity bootstrapping**, not a DAO. It is neither one-person-one-vote nor autonomous; calling it a DAO would misrepresent both its mechanics and its legal posture.

2. Problems it solves

1. **Who decides which indices exist?** A credible, Sybil-resistant curation process instead of an internal team picking winners.
 2. **Where does new index liquidity come from?** The act of curating funds the launch — governance capital does productive work instead of sitting idle.
 3. **How do you keep curation honest?** Economic stake plus identity plus penalties for spam/malice, so gaming carries real cost.
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3. The two ideas that make it work — and why they need each other

Idea	What it provides	Its weakness	Closed by
USDC staking to participate	Sybil resistance, capital efficiency, no speculative gov-token	Capital-weighting alone becomes plutocracy	Quadratic weighting
Quadratic vote weight (votes $\propto$ $\sqrt{\text{USDC}}$)	Whales keep skin in the game but marginal dollars buy steeply less; small contributors matter per-dollar	Vulnerable to wallet-splitting (Sybil)	USDC staking + KYC

These are deliberately paired. Staking gives quadratic voting the Sybil resistance it needs; quadratic voting gives staking the anti-plutocracy property it lacks; KYC closes the residual wallet-splitting gap. Removing any one of the three reopens a known failure mode. (Working precedent: Bitcoin's quadratic community-allocation pattern.)

4. How it works (conceptual flow)

1. **Identity** — a participant completes KYC once; the verified identity is the unit of participation.
2. **Propose** — a participant stakes USDC to submit a suggestion (a new sector index, a constituent change, a parameter within allowed bounds).
3. **Back / vote** — others stake USDC for or against. Each participant's vote weight on a proposal is $\sqrt{(\text{USDC committed})}$, capped per identity.
4. **Resolve** — proposals that clear the bar within the voting window pass; others are rejected.
5. **Fund** — backing on a *winning* proposal converts into **protocol-owned liquidity** for the new index, and each backer receives a transparent, disclosed LP claim (a receipt that states exactly what they hold and on what terms).
6. **Hand off** — the index's approved parameters are passed to PL1, which manages it autonomously within those bounds. The platform never executes trades.
7. **Penalize** — spam or malicious proposals (per §5) are penalized: stake is slashed or locked on worse terms rather than returned. Honest losing backers are made whole per the disclosed policy.

5. Governs the rules, not the trades

The single most important boundary in this design:

- **The community sets meta-parameters** — which sectors get an index, constituent eligibility, risk-budget bounds, signal-family selection, rebalance cadence ranges.

- **PL1 executes autonomously within those bounds.** Market-speed rotation never goes through a vote; a 3-day-horizon signal cannot wait for a governance cycle, and voters never hand-pick individual trades.

Get this boundary wrong in one direction and the platform can't react to markets; wrong in the other and retail voters are operating a live trading desk. The line is fixed: **vote on the policy envelope, never on the trade.**

6. Guardrails (non-overridable by any vote)

These sit *below* governance. No proposal or vote can switch them off.

- **No self-price-support.** Pooled capital may never execute discretionary buys intended to move the price of Hanu or any Goji index token. This extends the PL1 invariants (never-sell-HANU, no-direct-HANU-trades) to community capital. It is the highest-risk lever in the whole product and it is closed by design.
 - **Quadratic weight is mandatory.** Vote weight is always $\sqrt{(\text{stake})}$, never linear.
 - **Transparent claims only.** Contributed capital that becomes liquidity always carries a disclosed, claim-bearing receipt. No capital disappears into an undisclosed managed pool.
 - **KYC required** to propose, vote, or back.
 - **Per-identity caps** on stake-derived vote weight, to blunt residual whale dominance even under the square root.
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7. KYC — what it buys and what it costs

Buys: kills the multi-wallet/Sybil attack on quadratic voting (one human, one identity); creates an audit trail; makes every action attributable and the platform transparent.

Does not buy: it identifies a steering whale, it does not stop one. The anti-plutocracy work is done by §3 and §6, not by KYC.

Costs (own them in the design): KYC plus pooled-managed-capital plus identity collection moves the platform unambiguously toward *regulated financial activity* — identity collection is what funds and money-services businesses do. It also creates PII-custody obligations (GDPR/CCPA: storage, minimization, breach exposure, right-to-erasure vs. immutable audit trail tension). These are reasons to engage counsel and a compliance/data-protection design early, not reasons to skip KYC.

8. Open legal questions (gate launch — route to counsel)

- **OQ-L1** — Is staked, non-returnable USDC managed for gain a collective investment scheme / investment contract? (Working assumption: likely yes; design and disclose accordingly.)
 - **OQ-L2** — Does protocol-owned liquidity with claim-bearing receipts constitute a security offering, and what disclosures are required?
 - **OQ-L3** — Does collecting and managing pooled capital + KYC trigger fund registration, MSB, or money-transmitter licensing, and in which jurisdictions?
 - **OQ-L4** — PII custody regime (GDPR/CCPA) and its conflict with an immutable on-chain audit trail.
 - **OQ-L5** — Consent and consumer-protection requirements for non-returnable contributions: what must a participant be told, and how is informed consent recorded?
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9. Open design questions (for the PL3 Detailed Design)

- **OQ-D1** — Penalty mechanics: exact slashing/lock terms for spam vs. malice vs. honest loss.
 - **OQ-D2** — The passing bar: quorum, threshold, voting window per proposal type.
 - **OQ-D3** — Per-identity vote-weight cap calibration.
 - **OQ-D4** — POL claim/receipt structure, redemption terms, and how returns (if any) accrue to backers.
 - **OQ-D5** — Conviction/time-locking: should longer commitment increase weight, and how.
 - **OQ-D6** — Separation of roles: capital-weighted for *how much liquidity you provide* vs. quadratic for *which suggestions win*.
 - **OQ-D7** — KYC provider, data-minimization architecture, and audit-trail design.
 - **OQ-D8** — Appeals / dispute path for penalized proposals.
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10. Non-goals

- **NG1** — Not a DAO (neither autonomous nor one-person-one-vote).
 - **NG2** — Not a price-support mechanism for any Goji token (see §6).
 - **NG3** — Not a capital pool that voters can direct into discretionary asset buys.
 - **NG4** — Not a speculative governance-token launch.
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Sign-off checklist

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§6 guardrails confirmed as non-overridable, especially no-self-price-support.

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Quadratic weighting confirmed as the plutocracy fix (not non-return, not capital-weight).



§8 legal questions routed to securities + data-protection counsel **before** any Detailed Design build.



OQ-D1–OQ-D8 assigned for the PL3 Detailed Design.